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Market Briefs **Pro**

Read less news

Hey, Pro Briefers!

In October of 2024, we released a report on how consumer spending has been on a downtrend for several years, and recently it's been *even further down*.

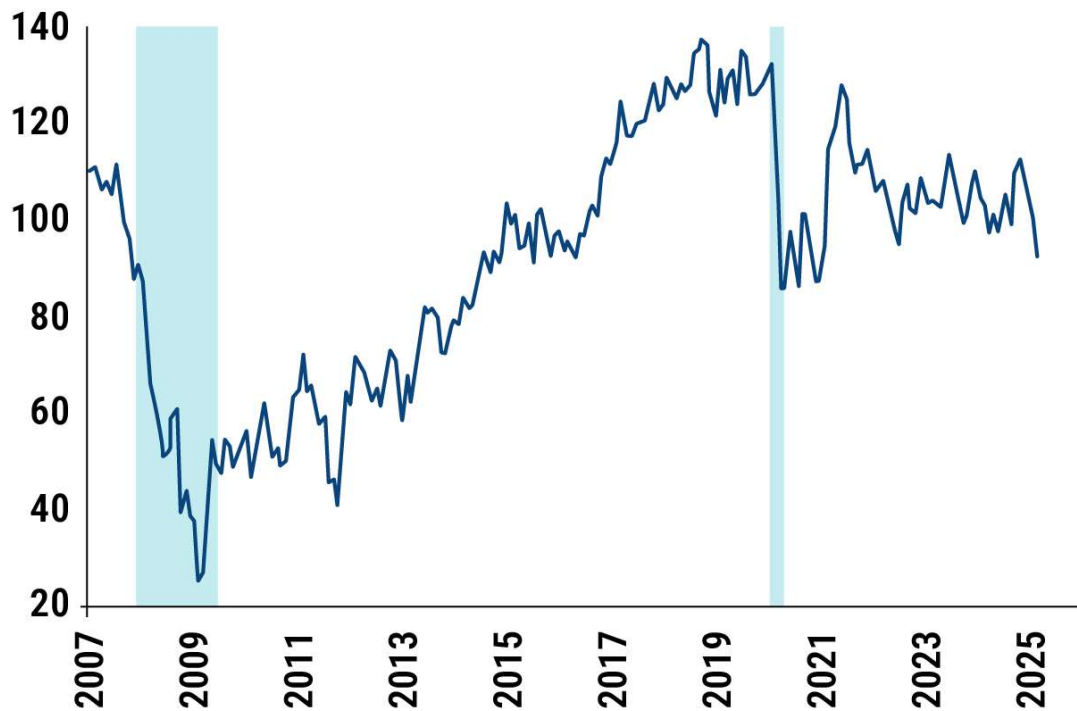
The University of Michigan releases a monthly consumer sentiment report. It's the go-to for analysts (including ours) for tracking how consumers feel about the economy.

The report from the end of March 2025 showed that consumers aren't optimistic, with sentiment down 11%.

- A similar report by the Conference Board showed sentiment in recession territory.

Consumer Confidence Index

Index, 1985 = 100



Shaded Areas Represent Periods Of Recession.

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Data [via](#) Conference Board

We cited the massive inflation in household goods from 2021 to 2022 as the starting point for this trend.

But we don't want to just give you information and walk away. So this week, we're going to take a look at one of our old reports, and show how this shift is in full swing.

This week we'll:

- Analyze how the companies have performed since our last report.
- Look at how this Market Shift has transformed.
- And look at additional companies that could benefit.

That's where we've identified a Main Street Shift: An uncertain economy has consumers looking to spend less.

As a result, they're doing more bulk shopping, and taking on more DIY projects like auto repair and home improvements to cut down on costs.

This week, let's dive into this shift - see where we were right, where we were wrong, and where these companies stand now.

Have some feedback? Let us know your thoughts on this Shift by responding directly to this email!

RETAIL

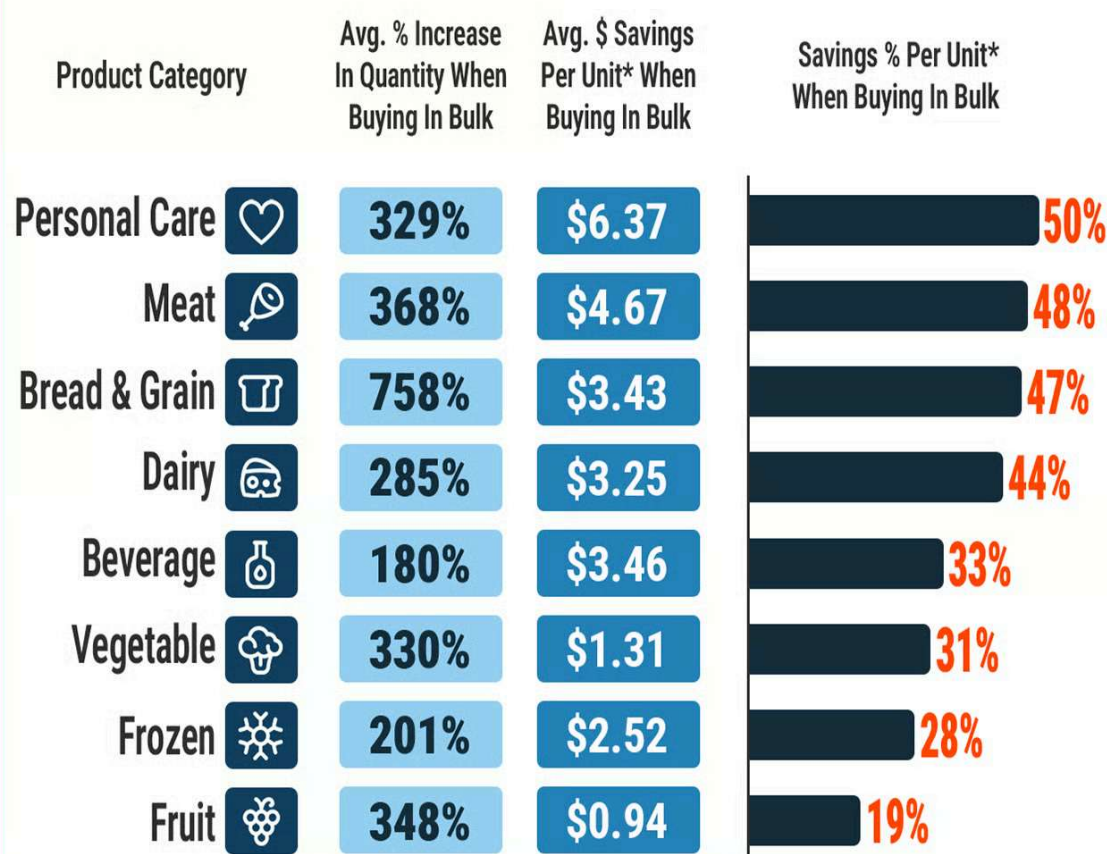
Wholesale Clubs

In 2024, we identified that people are choosing to shop at wholesale clubs to save money.

Definition: Wholesale clubs are stores that charge membership fees to access bulk goods.

From groceries to gasoline, these clubs aim to be a one-stop shop for customers, and the savings can be pretty big...

Savings When Buying In Bulk



* Unit Is Defined As The Quantity Sold Individually From A Non-Bulk Store

 Market Briefs Pro

Data via Instacart

- Household items are often discounted by as much as 50% when purchased from bulk stores.

Our data shows that convenience and price are the two largest factors for consumers when picking a store.

The most recognizable of these wholesale clubs is Costco (COST).

In our previous report, we cited Costco's high consumer loyalty, this time around we spoke to a loyal Costco shopper.

A single mother and loyal Costco member since 2013, she described how the store's value keeps pulling her in:

"The value is unparalleled...the Kirkland brand is superior quality for the value. I will immediately trust Kirkland. On the off chance that a product

doesn't work for me, Costco's return policy is very generous, so there's zero risk in trying something."

Then and now: Since our report, Costco has released its first quarterly financial statement for 2025, and the company does seem to be growing, even as consumer sentiment falls.

Costco's year-over-year net income has risen by over \$40 million, with sales rising by \$5 billion over the same period.

How has the stock performed? The company's share prices have been on the rise as well, up nearly 10% in the last 6 months, and up around \$100 since our report.

- By comparison the S&P 500 is down more than 7% in the same period.

Costco Wholesale Corporation (COST)

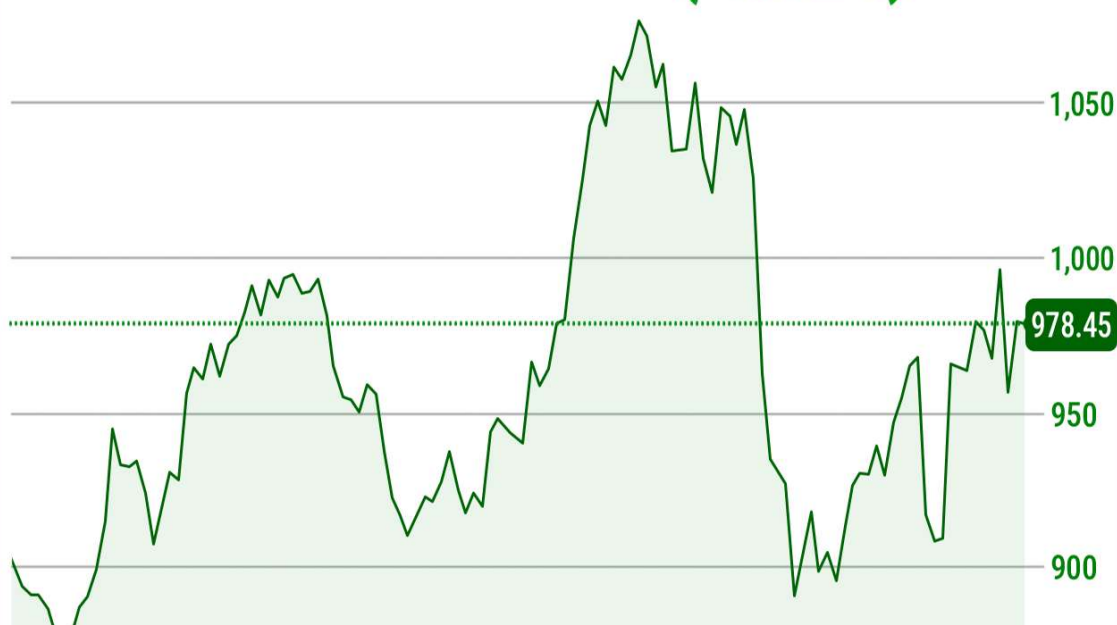
5 Year Price →

882.51
(+200.78%)



6 Month Price →

978.45
(+8.82%)



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After

Nov

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 **Market Briefs Pro**

Data [via](#) Yahoo! Finance

While Costco's performance over the past few months has been impressive, there's another wholesale club whose growth is outpacing Costco's.

We highlighted BJ's Wholesale Club (BJ) as a growing alternative to Costco.

BJ's differentiates itself by embracing coupon culture.

Not only is it the only wholesale club that accepts manufacturer coupons, but it publishes its own coupon book for members, allowing them to hunt for additional savings.

Its innovations have made it one of the fastest-growing wholesale clubs.

Since our feature, BJ's has released an annual report, which has shown:

- Revenue is growing by \$1 billion, reaching \$20.5 billion.
- An addition of \$300 million in property.
- An \$11 million increase in profits.

With higher sales, more members, and new stores, BJ's has continued its strong and steady growth.

How has the stock performed? The strong growth has enticed investors, and share prices are up more than 32% in the last 6 months, an increase of about \$30 a share.

BJ's Wholesale Club Holdings, Inc. (BJ)

5 Year Price →

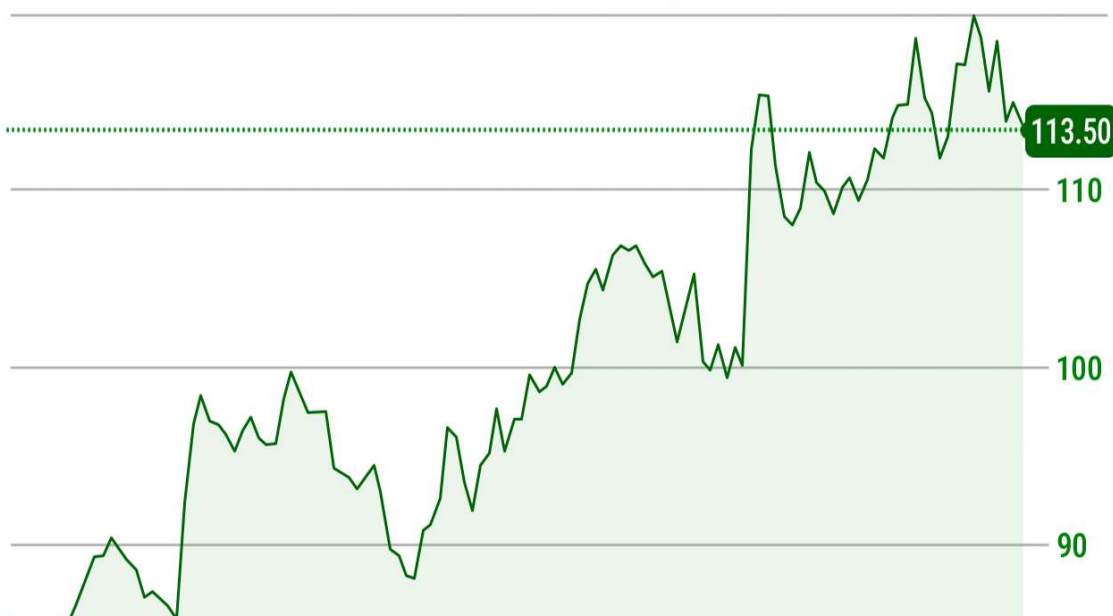
88.63
(+266.82%)



Before

6 Month Price →

113.50
(+32.64%)



BJ's isn't quite the household name that Costco is, but its growth has shown that a shift in consumer spending has been to its benefit.

As consumers keep shifting into the more cost-conscious bulk stores, BJ's should continue its growth.

While not solely a wholesale club, it's nearly impossible to mention this industry without talking about Walmart (WMT) and its nationwide wholesale club, Sam's Club.

Walmart has continued to grow for many reasons, and its classic chain store continues to be an industry leader, but we wanted to mention that its latest reports show continued growth in its Sam's Club segment.

- Sam's Club sales grew by 4.7% in 2024, up 1.5% year-over-year.
- Gross profit increased by \$800 million year-over-year.
- It accounted for 11.3% of Walmart's total profits, up 0.4% year-over-year.

Growth of Sam's Club in 2024				
Fiscal Years Ended January 31, 2024 and 2025				
	2025	2024	2025	2024
	With Fuel		Fuel Impact	
Walmart U.S.	4.8%	5.5%	(0.1)%	(0.1)%
Sam's Club U.S.	4.7%	2.3%	(1.5)%	(2.6)%
Total U.S.	4.8%	4.9%	(0.3)%	(0.6)%
Market Briefs Pro				

Data [via](#) Walmart

While Walmart has many products, Sam's Club's growth is one of the major reasons the stock is up nearly 14% in the past 6 months.

HOUSING

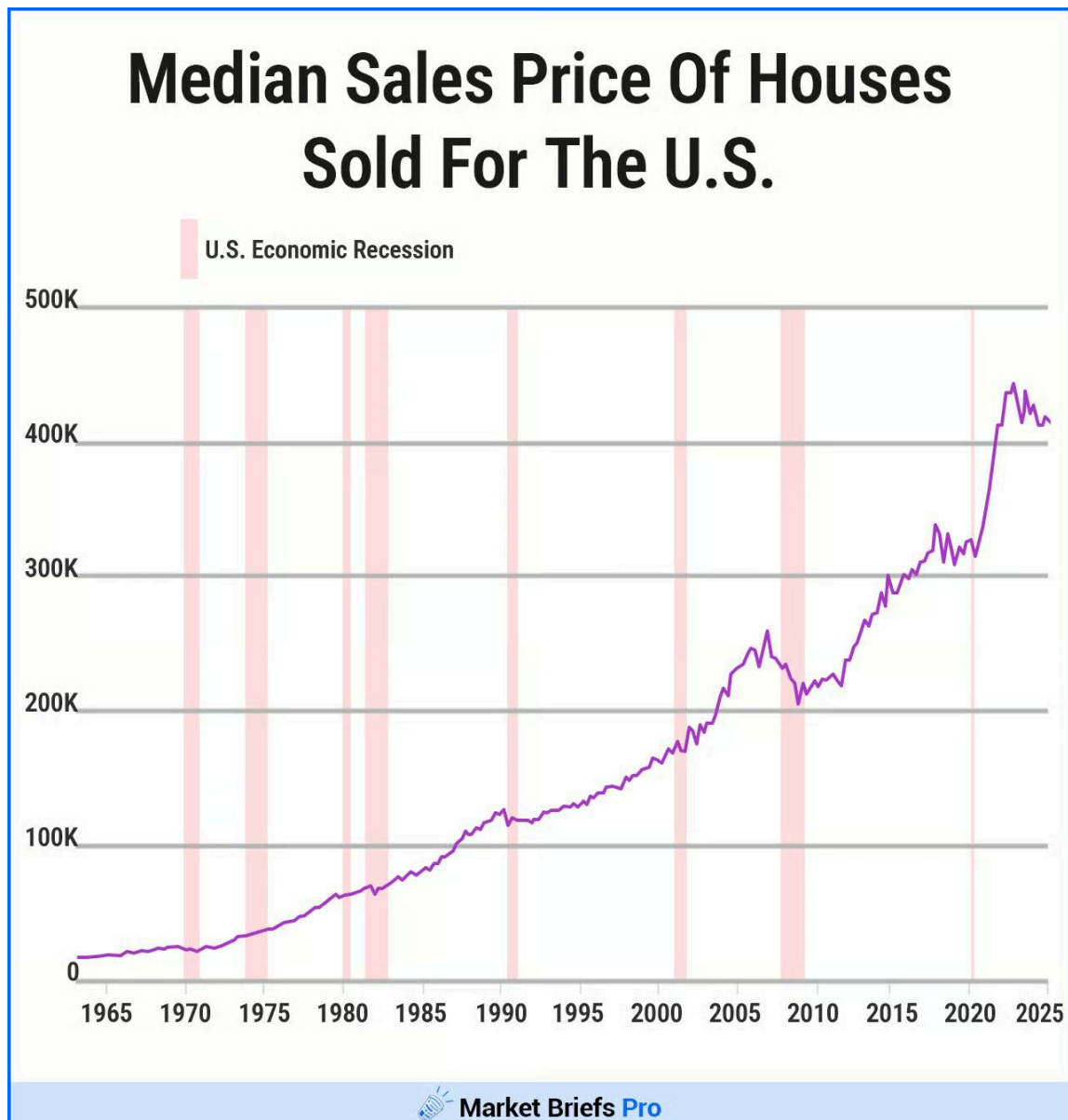
Home Repair

Consumers are pulling back on big-ticket purchases like homes and vehicles, instead repairing and upgrading what they already own.

For many people, their home is the biggest purchase they'll ever make.

- The average homeowner has 45% of their net worth tied to their home.

The last year has been a roller coaster for the housing market.



Data via FRED

As prices have risen, home sales have become stagnant, and more consumers have been looking to upgrade their existing homes.

This trend has continued since our last report, with the housing market continuing the struggle, prices fluctuating, and consumers expecting interest rates to remain high.

Many analysts (including ours) believed that this would fuel DIY stores such as Lowe's (LOW) and Home Depot (HD).

But these companies have seen a few setbacks.

One effect of stagnant home prices is that house flipping has plummeted:

- In Q4 of 2021 (during the pandemic), more than 125,000 homes were flipped in the U.S.
- In Q4 of 2024, fewer than 70,000 homes were flipped - the lowest since 2007.

Definition: Flipping a home is purchasing, repairing, and upgrading it before reselling it at a higher price.

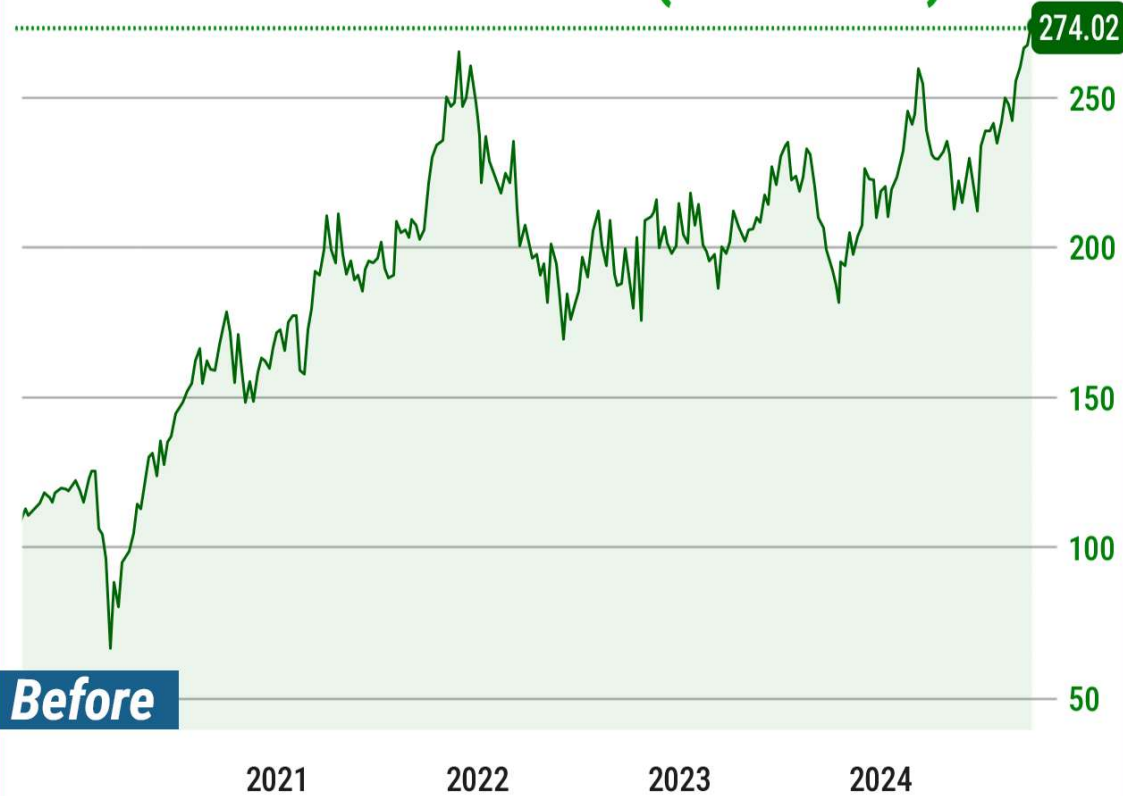
Lowe's is the more consumer-centric of the two DIY giants, positioning itself more as a regular store, and providing things like tool classes to target non-professionals.

And looking at the last five years, Lowe's has done very well.

Lowe's Companies, Inc. (LOW)

5 Year Price →

274.02
(+153.13%)



6 Month Price →

218.87
(-18.97%)



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Market Briefs Pro

Data [via](#) Yahoo! Finance

Despite being down more than 18% in the last 6 months, Lowe's is still up more than 150% over the last five years.

Home Depot's stock tells a similar story, up over 80% in the last five years, but down more than 11% in the last 6 months.

The Home Depot, Inc. (HD)

5 Year Price →

414.49
(+82.80%)



6 Month Price →

355.60
(-11.02%)



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Market Briefs Pro

Data via Yahoo! Finance

Whereas Lowe's caters to the non-professional crowd, Home Depot operates a number of programs aimed towards contractors.

In theory, with homes being held onto for longer periods, contract work should also be on the rise, as many major upgrades are just too much for the average homeowner.

But alongside their stock, Home Depot's revenue saw a small downturn in 2024, with the company relying on its brand recognition and acquisitions for stability.

The Home Depot, Inc. Consolidated Balance Sheets

February 2,
2025

January 28,
2024

Assets

Current Assets:

Cash And Cash Equivalents \$ 1,659 \$ 3,760

Receivables, Net 4,903 3,328

Merchandise Inventories 23,451 20,976

Other Current Assets 1,670 1,711

Total Current Assets 31,683 29,775

Net Property And Equipment 26,702 26,154

Operating Lease Right-Of-Use Assets 6,592 7,884

Goodwill 19,475 8,455

Intangible Assets, Net 8,983 3,606

Other Assets 684 656

Total Assets \$ 96,119 \$ 76,530



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Data via The Home Depot

- A company's Goodwill represents the value of brand recognition and customer loyalty. Home Depot's more than doubled from 2023 to 2024.

There might be more trouble ahead: The next few years might be tough for companies in the home DIY space.

New tariffs on both lumber and steel could have a massive effect on both pricing and supply for these companies.

We called this incorrectly.

There could be long-term gains for these DIY giants, but our team believes that between new tariffs and a struggling economy, Home Depot and Lowe's could face a tough few years.

Note: It's worth mentioning that Home Depot and Lowes both believe that if the Fed lowers interest rates, they'll see a boost in sales.

AUTOMOTIVE

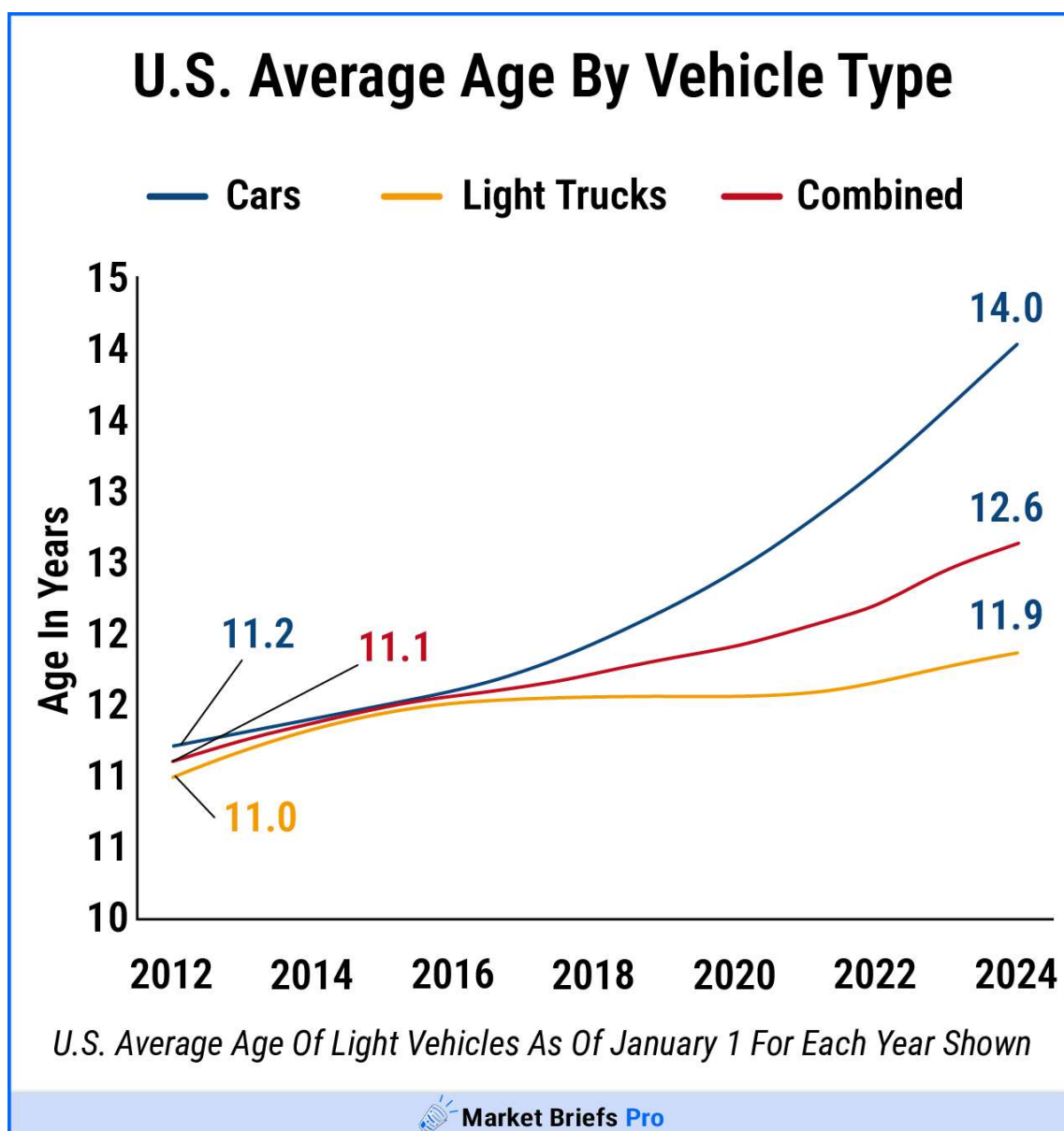
Auto Maintenance

Homes tend to be the **largest** big-ticket item that consumers buy, but the most common? That would be the automobile.

And much like homes - *people are keeping their cars longer.*

In the last report, our research showed that the average age of a car on the road was increasing as of 2023.

And now? That trend continued in 2024, with the average vehicle age reaching 12.6 years old.



Data via S&P Global

And not only do older cars mean more maintenance, but they're more likely to need large repairs.

Cost-conscious consumers are bringing those repairs home, with the number of drivers doing small and even large repairs themselves, increasing year-over-year.

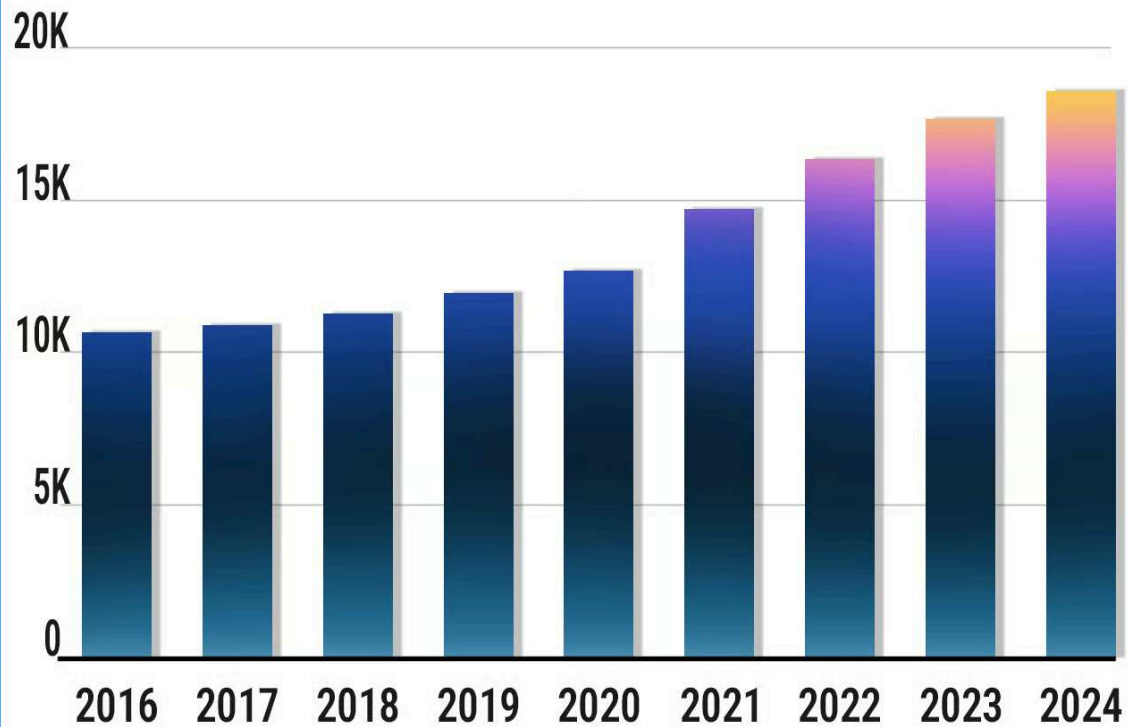
As these cars have been on the road longer, companies that sell tools and parts for auto supply have been on the rise.

One of the most successful brands in the auto parts industry is AutoZone (AZO), and the company has been revving up its engine on this shift.

AutoZone's revenues have been steadily increasing since high inflation started back in 2021.

AutoZone, Inc. (AZO)

(Revenues In \$Millions)



 Market Briefs Pro

Data [via](#) AutoZone

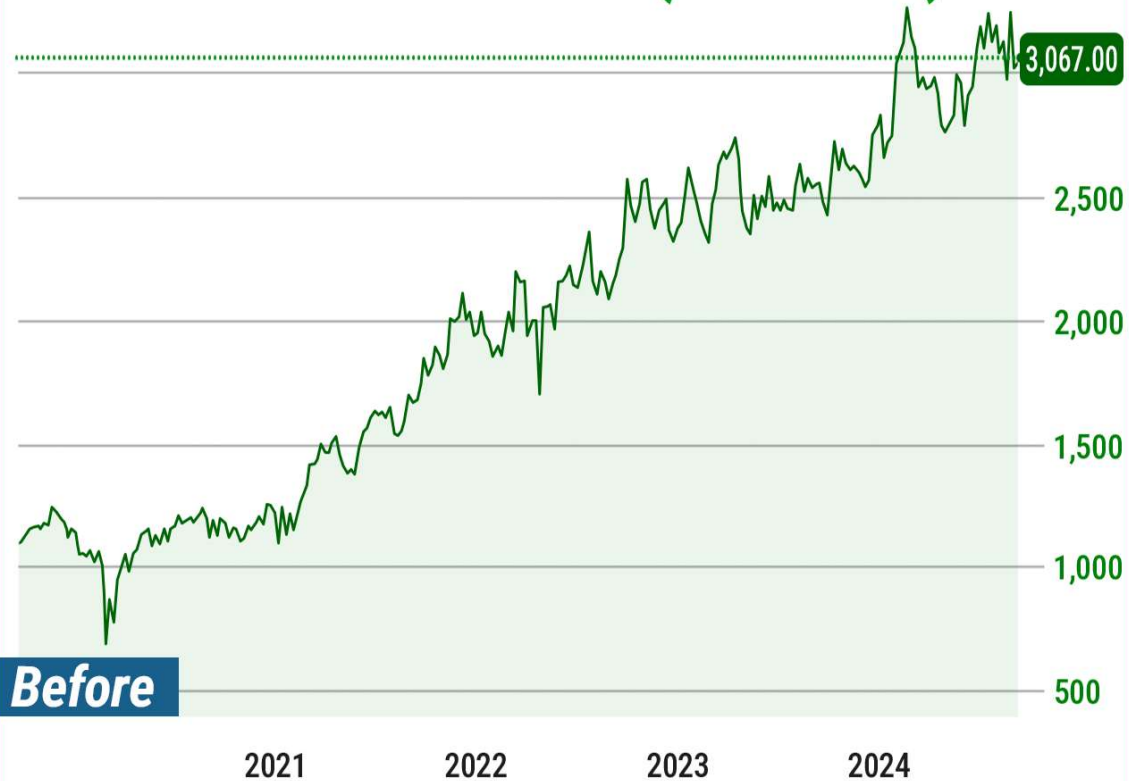
- In 2020, Autozone had a revenue of \$12 billion.
- By 2024, its revenue had increased to \$18.4 billion.

AutoZone has a number of programs aimed at making auto repair more approachable (like free tool loaning). As more consumers have begun to repair their own vehicles, these programs have paid off.

AutoZone, Inc. (AZO)

5 Year Price →

3,067.00
(+189.12%)



6 Month Price →

3,646.66
(+14.08%)



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Market Briefs Pro

Data [via](#) Yahoo! Finance

How has the stock performed? Since being featured in our report, the stock has continued to rise, up 14% in the last 6 months, and 180% over the last 5 years.

And they aren't the only ones in the space that have benefitted from this shift.

O'Reilly Auto Parts (ORLY) has also been capitalizing on older vehicles. The main difference between O'Reilly and AutoZone is O'Reilly's "dual-market" business model.

- O'Reilly has outlined its plans to appeal to both DIY auto repair, as well as professional shops - both of which benefit from aging vehicles.

Our analysts had noted O'Reilly is in a good position to capitalize from both a pullback in consumer spending, and aging vehicles driving business to mechanics.

How has the stock performed? O'Reilly has been on a similar trajectory as AutoZone, up 15% in the last 6 months, and over 190% in the last five years.

O'Reilly Automotive, Inc. (ORLY)

5 Year Price →

1,163.69
(+199.19%)



6 Month Price →

1,385.69
(+15.65%)





Where are they headed? The U.S. is poised for another pullback in consumer spending.

Auto repair seems to not only grow during these periods, but maintain that growth even as things begin to settle.

DISCOUNT

Expanding the Shift

We published our initial report in October of 2024, and as of May 2025, with recent projections on consumer sentiment and inflation, this shift is picking up speed.

So what's next?

In addition to companies from our last report, our team has identified additional companies that have either:

- Performed well during this shift.
- Positioned themselves to do well as the shift continues.

Keeping in mind that consumers are looking for more cost-conscious alternatives to save money, brands that specialize in low-cost goods are seeing a boom.

Dollar Tree (DLTR) and Dollar General (DG) have both seen strong growth over the last 6 months.

Dollar Tree, Inc. (DLTR)

6 Month Price →

83.17
(+25.76%)



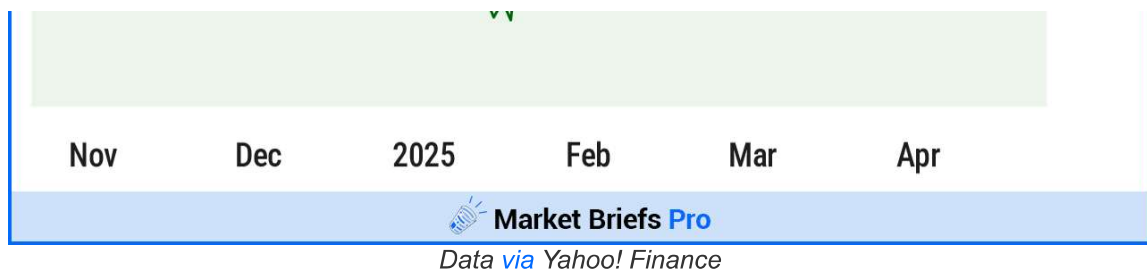
Versus

Dollar General Corporation (DG)

6 Month Price →

95.20
(+17.47%)





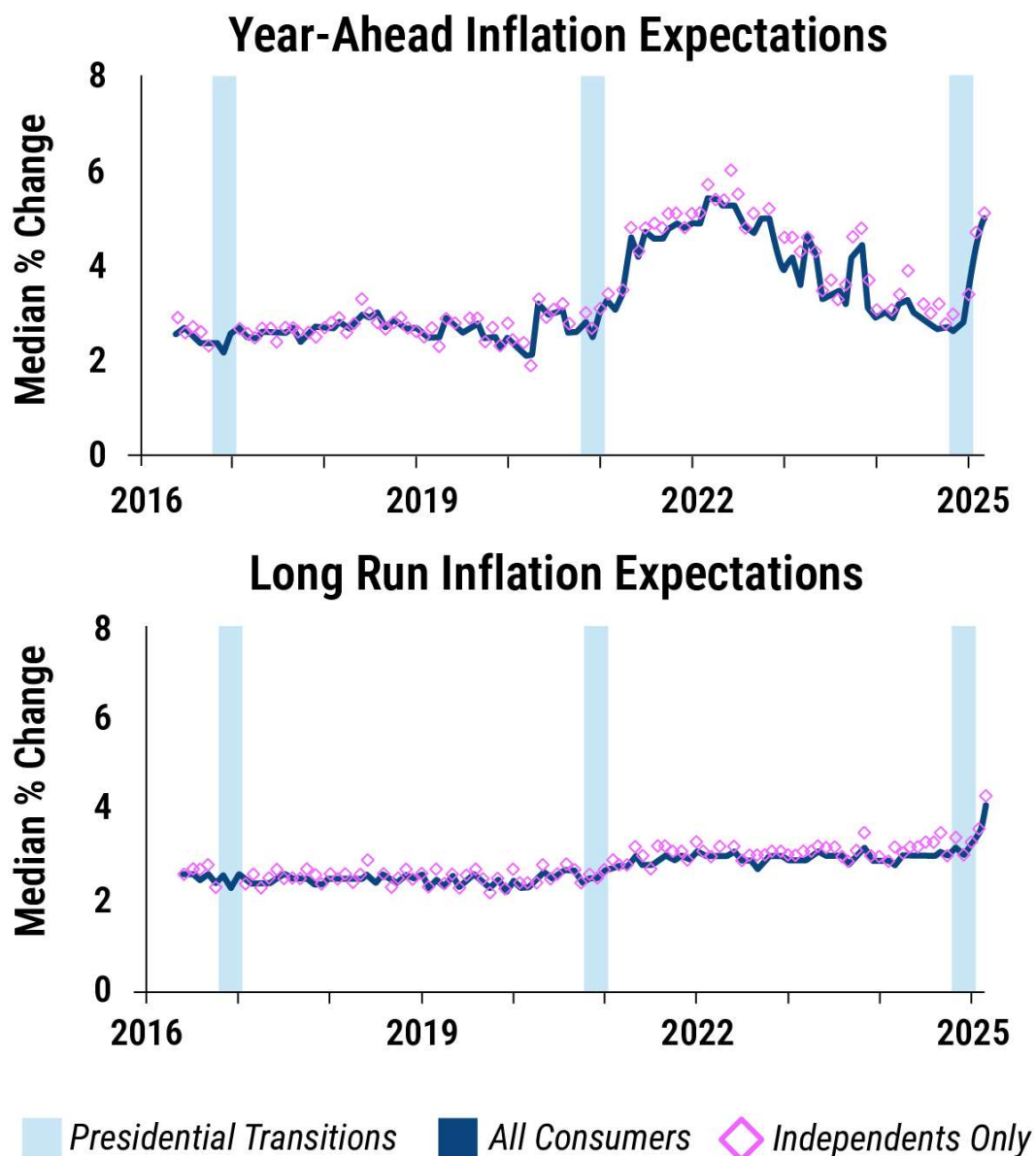
- Dollar Tree is up 25% in 6-months.
- Dollar General is up 17% in 6-months.

Why the rise? These brands are “dollar stores” which originally specialized in selling most of their goods for \$1 or less.

While that’s no longer the case, they still maintain the lowest pricing possible, providing often lower-quality goods at a significantly lower price point.

Historically, as the markets go down, dollar stores go up. These brands have performed particularly well in times of high inflation.

Trends In Inflation Expectations



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Data via University of Michigan

With many consumers expecting higher inflation over the next few years, these dollar store brands could be in a position to cash in.

Lower consumer sentiment is also big business for ecommerce brand eBay (EBAY).

eBay is like a digital flea market, allowing users to both set up store fronts and auction off their goods.

This plays into consumer pullbacks in a few ways:

- Consumers looking to increase their cash reserves often look to sell their stuff online.
- Consumers looking to save money often look to digital marketplaces for lower prices.
- Entrepreneurs often look to “flip” items on digital marketplaces during downturns.

And regardless of the transaction, eBay is collecting a fee.

The website also has dedicated sections to things like automotive or home improvement, which we know do well in economic downturns.



Data via Yahoo! Finance

eBay's share prices have done well, up 27% over the past year, but with consumers looking to cut costs even more, this may only be the beginning of its growth.

REVIEW

Risks

As we saw with both Home Depot and Lowe's, the same things that drive down consumer spending, can also drive down a company's growth.

Things like changing regulation and new tariffs can change the outlook for a company that would normally perform well during an economic downturn.

Recessionary periods hit for different reasons, and while certain industries tend to be insulated, it's impossible to predict exactly how any specific downturn will affect the U.S. economy.

So why try? Because while there may be unforeseen consequences, we can see how certain industries have reacted in the past six months, and it gives us an educated look at the *next* six months.

Sentiment Low = Potential High

Six months since our previous coverage of this Main Street Shift, consumer sentiment has gone down even further.

Companies in wholesale and auto repair are already seeing powerful gains from this consumer shift, and are in a position to potentially continue growing.

Despite this, tariffs and a changing economy have caused our team to change their projection on DIY stores like Home Depot and Lowe's.

Our team believes that with current projections, dollar stores and digital marketplaces are set for strong growth as well.

Investors who took action on the original report are already seeing the results.



- Briefs Media Team

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